

Up to Buy: successful ISG delivery, strong pipeline to drive sustainable expansion

Rating Change: BUY | PO: 46.00 HKD | Price: 34.90 HKD

Record results strengthen earnings outlook

We upgrade Lenovo to Buy from Neutral following a successful server delivery. 1Q FY27 (Jun Q) results proved strong server expansion across all fronts with operating leverage. Revenue was US\$26.9bn (+25% QoQ, +43% YoY), beating BofAe/consensus by 22%/20%. Adj. earnings beat BofAe/consensus by 56%/68% at US\$1.1bn (+92% QoQ, +176% YoY). We lift FY27-29E earnings by 44-74% to reflect the positives. We lift PO to HK\$46 (17x 2Q FY27E-1Q FY28E P/E) from HK\$26.5 (16x FY27E P/E) after a valuation base rollover and a higher P/E of 17x (slightly above historical peak P/E of 16x, justified by a successful business transformation). Our ADR PO rises to US\$117.69 from US\$67.20.

Solid deliveries across Neocloud, sovereign & enterprises

Lenovo's ISG revenue reached US\$8.5bn (+51% QoQ, +98% YoY) and OPM hit a record high of 9.1% (vs 3.6% in 4Q FY26). The upbeat results were led by growth trajectory from not only general cloud but also sovereign, Neocloud and enterprises (also see [US semi team's report](#)). Lenovo's AI server pipeline also grew 157% QoQ to US\$54bn, suggesting sustainable growth. Our check with other OEMs/ODMs also indicates robust Neocloud demand. Besides CSP, we see enterprises business is improving, which could support ongoing margin expansion.

PC profitability sustainable

Mgmt. expects PC industry to face ~15% YoY shipment decline in 1H FY27 (Apr-Sep) amid price hikes. However, we believe Lenovo should be relatively better positioned, given its high commercial exposure (~65%). Meanwhile, margin should remain resilient, supported by scale, procurement management, and better mix.

Estimates (Mar) (US\$)	2025A	2026A	2027E	2028E	2029E
Net Income (Adjusted - mn)	1,441	2,049	4,461	6,452	7,861
EPS	0.10	0.13	0.18	0.43	0.53
EPS Change (YoY)	31%	27%	40%	137%	22%
Consensus EPS (Visible Alpha)			0.17	0.25	0.30
Dividend / Share	0.05	0.05	0.05	0.05	0.05
Free Cash Flow / Share	0.04	0.23	0.10	0.39	0.55
ADR EPS (US\$)	2.04	2.60	3.65	8.64	10.58
ADR Dividend / Share (US\$)	1.00	1.00	1.00	1.00	1.00
Valuation (Mar)					
P/E	44.0x	34.3x	24.4x	10.3x	8.4x
Dividend Yield	1.1%	1.1%	1.1%	1.1%	1.1%
EV / EBITDA*	16.4x	12.6x	10.1x	5.9x	4.9x
Free Cash Flow Yield*	0.8%	5.0%	2.1%	8.6%	12.0%

* For full definitions of *IQmethod*SM measures, see page 10.

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Refer to important disclosures on page 11 to 14. Analyst Certification on page 8. Price Objective Basis/Risk on page 8.

14 August 2026

Equity

Key Changes

(US\$)	Previous	Current
Inv. Opinion	B-2-7	B-1-7
Inv. Rating	NEUTRAL	BUY
Price Obj.	HK\$26.50	HK\$46.00
2027E EPS	0.20	0.18
2028E EPS	0.25	0.43
2029E EPS	0.30	0.53
2027E EBITDA (m)	5,596	5,810
2028E EBITDA (m)	6,754	10,051
2029E EBITDA (m)	7,944	12,118

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Stock Data

Price (Common / ADR)	34.90 HKD / 73.77 USD
Price Objective	46.00 HKD / 117.69 USD
Date Established	14-Aug-2026 / 14-Aug-2026
Investment Opinion	B-1-7 / C-1-7
52-Week Range	852 HKD-3546 HKD
Market Value (mn)	55,169 USD
Market Value (mn)	432,923 HKD
Shares Outstanding (mn)	12,404.7 / 620.2
Average Daily Value (mn)	505.29 USD
Free Float	54.6%
BofA Ticker / Exchange	LNUGF / HKG
BofA Ticker / Exchange	LNUGY / OTU
Bloomberg / Reuters	992 HK / 0992.HK
ROE (2027E)	51.5%
Net Dbt to Eqty (Mar-2026A)	-1.7%

For acronyms used in this report, please refer to Page 6

iQprofileSM Lenovo Group

Key Income Statement Data (Mar)	2025A	2026A	2027E	2028E	2029E
(US\$ Millions)					
Sales	69,077	83,075	107,902	129,619	149,465
Gross Profit	11,098	12,809	17,962	21,842	25,562
Sell General & Admin Expense	(6,407)	(7,141)	(8,329)	(9,656)	(11,276)
Operating Profit	2,164	3,262	4,766	8,752	10,513
Net Interest & Other Income	(683)	(592)	(721)	(697)	(697)
Associates	NA	NA	NA	NA	NA
Pretax Income	1,481	2,670	4,045	8,055	9,817
Tax (expense) / Benefit	(19)	(510)	(1,143)	(1,611)	(1,963)
Net Income (Adjusted)	1,441	2,049	4,461	6,452	7,861
Average Fully Diluted Shares Outstanding	13,592	14,732	14,543	14,543	14,543

Key Cash Flow Statement Data

Net Income	1,384	1,912	2,651	6,284	7,693
Depreciation & Amortization	1,419	1,418	1,044	1,299	1,604
Change in Working Capital	(1,336)	(1,215)	(1,535)	(1,732)	(1,594)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	(368)	1,908	251	160	160
Cash Flow from Operations	1,100	4,024	2,411	6,011	7,864
Capital Expenditure	(666)	(1,262)	(1,262)	(1,262)	(1,262)
(Acquisition) / Disposal of Investments	0	0	0	0	0
Other Cash Inflow / (Outflow)	(390)	(647)	0	0	0
Cash Flow from Investing	(1,056)	(1,909)	(1,262)	(1,262)	(1,262)
Shares Issue / (Repurchase)	0	0	0	0	0
Cost of Dividends Paid	(608)	(613)	(602)	(602)	(602)
Cash Flow from Financing	1,190	(1,997)	(762)	(762)	(762)
Free Cash Flow	433	2,762	1,149	4,749	6,602
Net Debt	640	(146)	(533)	(4,521)	(10,361)
Change in Net Debt	515	(744)	(387)	(3,987)	(5,840)

Key Balance Sheet Data

Property, Plant & Equipment	2,026	2,324	2,542	2,505	2,163
Other Non-Current Assets	14,300	15,603	15,603	15,603	15,603
Trade Receivables	10,507	14,503	14,190	17,046	19,656
Cash & Equivalents	4,728	4,887	5,274	9,262	15,102
Other Current Assets	12,669	19,812	18,934	21,084	23,028
Total Assets	44,231	57,129	56,543	65,499	75,551
Long-Term Debt	4,338	3,863	3,863	3,863	3,863
Other Non-Current Liabilities	3,239	3,465	3,465	3,465	3,465
Short-Term Debt	1,030	878	878	878	878
Other Current Liabilities	28,964	40,479	37,752	41,026	43,986
Total Liabilities	37,571	48,685	45,958	49,233	52,193
Total Equity	6,660	8,444	10,493	16,176	23,268
Total Equity & Liabilities	44,231	57,129	56,452	65,408	75,460

iQmethodSM - Bus Performance*

Return On Capital Employed	14.6%	17.1%	19.8%	32.8%	30.4%
Return On Equity	24.7%	29.9%	51.5%	51.5%	41.6%
Operating Margin	3.1%	3.9%	4.4%	6.8%	7.0%
EBITDA Margin	5.2%	5.6%	5.4%	7.8%	8.1%

iQmethodSM - Quality of Earnings*

Cash Realization Ratio	0.8x	2.0x	0.5x	0.9x	1.0x
Asset Replacement Ratio	0.5x	0.9x	1.2x	1.0x	0.8x
Tax Rate (Reported)	1.3%	19.1%	28.2%	20.0%	20.0%
Net Debt-to-Equity Ratio	9.6%	-1.7%	-5.1%	-27.9%	-44.5%
Interest Cover	2.8x	4.7x	5.8x	10.9x	13.1x

Key Metrics

* For full definitions of iQmethodSM measures, see page 10.

Company Sector

PC Hardware

Company Description

Set up in 1989, Lenovo is the world's largest PC maker with around 25% market share. It is the leading PC brand in China market with 30+% market share. In 2001, Lenovo (Legend) spun off its distribution and enterprise service business (Digital China, listed in Hong Kong) and became a pure PC vendor. In 2004, Lenovo renamed itself from "Legend". In May 2005, Lenovo announced the acquisition of IBM's PC business for US\$1.75bn. Lenovo merged Fujitsu's PC business into the company in May 2018.

Investment Rationale

We have a Buy rating on Lenovo on stronger earnings expansion led by solid server pipeline across Neocloud AI server, sovereign, general cloud and enterprise segment.

Stock Data

Shares / ADR	20.00
Price to Book Value	5.7x

Key Changes

(US\$)	Previous	Current
Inv. Opinion	C-2-7	C-1-7
Inv. Rating	NEUTRAL	BUY
Price Obj.	67.20	117.69
2027E EPS	4.0	3.6
2028E EPS	5.0	8.6
2029E EPS	5.9	10.6



Upgrade to Buy, PO at HK\$46

We upgrade Lenovo to Buy from Neutral following a successful server delivery. 1Q FY27 (Jun quarter) results demonstrated strong server expansion across all fronts with operating leverage. Revenue reached US\$26.9bn (+25% QoQ, +43% YoY), beat BofAe/consensus by 22%/20%. Adjusted earnings beat BofAe/consensus by 56%/68% at US\$1.1bn (+92% QoQ, +176% YoY).

We lift FY27-29E earnings by 44-74% to reflect the positives. We raise our PO to HK\$46 (17x 2Q FY27E -1Q FY28E P/E) from HK\$26.5 (16x FY27E P/E) after a valuation base rollover and a higher P/E. 17x is slightly above its historical peak P/E of 16x, justified by a successful business transformation. Our ADR PO comes to US\$117.69 from US\$67.2.

Exhibit 1: Adjusted earnings reached US\$1.1bn (+92% QoQ, +176% YoY), 56%/68% above BofAe/consensus

1Q FY27 (Jun quarter) earnings review

US\$m	Jun-26	QoQ	YoY	BofAe	Diff(%)	Street	Diff(%)	Mar-26	Jun-25
Sales	26,943	25%	43%	22,122	22%	22,418	20%	21,588	18,830
Gross profit	4,452	26%	60%	3,619	23%	3,580	24%	3,539	2,774
Op profit	19	-98%	-98%	1,031	-98%	625	-97%	886	785
Pretax profit	(180)	-124%	-129%	856	-121%	460	-139%	735	622
Net income	(609)	-217%	-220%	645	-194%	432	-241%	521	505
Adjusted earnings	1,075	92%	176%	687	56%	638	68%	559	389
Margin									
Gross margin	16.5%			16.4%	0.2%	16.0%	0.6%	16.4%	14.7%
OP margin	0.1%			4.7%	-4.6%	2.8%	-2.7%	4.1%	4.2%
Pretax margin	-0.7%			3.9%	-4.5%	2.1%	-2.7%	3.4%	3.3%
Net margin	-2.3%			2.9%	-5.2%	1.9%	-4.2%	2.4%	2.7%

Source: Company data, BofA Global Research estimates, Bloomberg consensus

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Exhibit 2: ISG revenue grew by 51% QoQ and 98% YoY to US\$8.5bn, with OPM reaching a record high of 9.1%

Lenovo's sales/operating income by business lines

US\$m	Revenue			Revenue growth		Operating income (core biz only)			Operating margin (core biz only)		
	FY1Q27	FY4Q26	FY1Q26	QoQ	YoY	FY1Q27	FY4Q26	FY1Q26	FY1Q27	FY4Q26	FY1Q26
IDG (PC, mobile)	17,106	14,614	13,459	17.1%	27.1%	1,210	1,015	950	7.1%	6.9%	7.1%
ISG (server)	8,510	5,635	4,290	51.0%	98.4%	777	202	-86	9.1%	3.6%	-2.0%
SSG (service)	2,884	2,563	2,258	12.5%	27.7%	697	573	501	24.2%	22.4%	22.2%
Eliminations	-1,556	-1,223	-1,177	n.m.	n.m.	-602	-476	-393	n.m.	n.m.	n.m.
Total	26,943	21,588	18,830	24.8%	43.1%	2,082	1,314	973	7.7%	6.1%	5.2%

Source: Company data, BofA Global Research.

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Exhibit 3: We lift FY27-29E earnings by 44-74%

Earnings estimate changes, FY27-29E

US\$m	FY2027			FY2028			FY2029		
	New	Old	Diff.	New	Old	Diff.	New	Old	Diff.
Sales	107,902	93,884	15%	129,619	105,957	22%	149,465	115,557	29%
Gross profit	17,962	15,491	16%	21,842	17,743	23%	25,562	19,749	29%
Op profit	4,766	4,552	5%	8,752	5,456	60%	10,513	6,339	66%
Pretax profit	4,045	3,857	5%	8,055	4,761	69%	9,817	5,645	74%
Net income	2,651	2,926	-9%	6,284	3,649	72%	7,693	4,356	77%
Adjusted net income	4,461	3,094	44%	6,452	3,817	69%	7,861	4,524	74%
Margin									
Gross margin	16.6%	16.5%		16.9%	16.7%		17.1%	17.1%	
OP margin	4.4%	4.8%		6.8%	5.1%		7.0%	5.5%	
Pretax margin	3.7%	4.1%		6.2%	4.5%		6.6%	4.9%	
Net margin	2.5%	3.1%		4.8%	3.4%		5.1%	3.8%	
Adjusted net margin	4.1%	3.3%		5.0%	3.6%		5.3%	3.9%	

Source: BofA Global Research estimates

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Exhibit 4: Our adjusted earnings are 68-88% above consensus for FY27-29E

BofAe vs consensus, FY27-29E

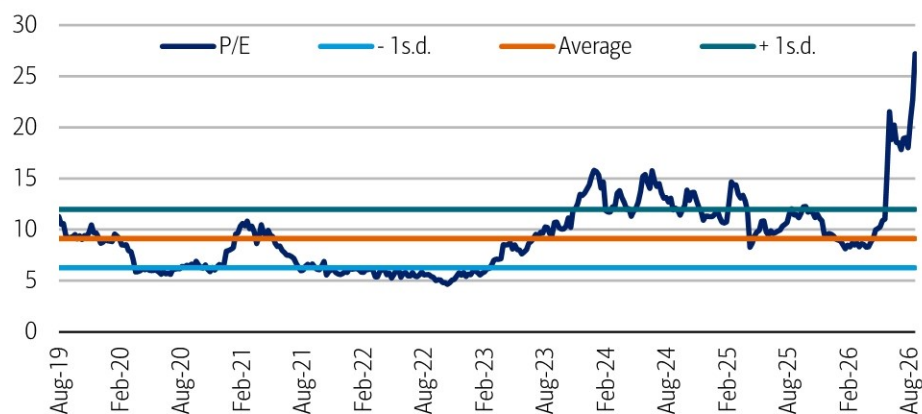
	FY2027			FY2028			FY2029		
	BofAe	Street	Diff.	BofAe	Street	Diff.	BofAe	Street	Diff.
Sales	107,902	94,858	14%	129,619	107,249	21%	149,465	120,434	24%
Gross profit	17,962	14,874	21%	21,842	16,766	30%	25,562	19,272	33%
Op profit	4,766	3,919	22%	8,752	5,029	74%	10,513	5,981	76%
Pretax profit	4,045	3,172	28%	8,055	4,383	84%	9,817	5,340	84%
Net income	2,651	2,487	7%	6,284	3,249	93%	7,693	4,052	90%
Adjusted net income	4,461	2,658	68%	6,452	3,436	88%	7,861	4,237	86%
Margin									
Gross margin	16.6%	15.7%		16.9%	15.6%		17.1%	16.0%	
OP margin	4.4%	4.1%		6.8%	4.7%		7.0%	5.0%	
Pretax margin	3.7%	3.3%		6.2%	4.1%		6.6%	4.4%	
Net margin	2.5%	2.6%		4.8%	3.0%		5.1%	3.4%	
Adjusted net margin	4.1%	2.8%		5.0%	3.2%		5.3%	3.5%	

Source: BofA Global Research estimates, Bloomberg consensus

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Exhibit 5: Lenovo trades at above +1SD of historical trading range

Lenovo's 1-year forward P/E trend since 2019



Source: BofA Global Research. S.D.: standard deviation

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Exhibit 7: Lenovo trades at 10x 2027E P/E, vs PC peers' 17x and server peers' 15x

Valuation comparison

Ticker	Company	Share price (LC)	Mkt cap (US\$mn)	EPS (reporting currency)			PE (X)			PB (X)			EPS growth			Div. yield (%)		ROE (%)		EV/EBITDA	
				26E	27E	28E	26E	27E	28E	26E	27E	28E	26E	27E	28E	26E	27E	26E	27E	26E	27E
992 HK	Lenovo	34.9	55,172	0.31	0.44	0.54	14.5	10.0	8.2	5.5	3.5	2.4	-12%	45%	22%	1.1	1.1	51.5	51.5	10.1	5.9
PC OEM																					
HPQ US	HPQ	29.3	26,777	3.03	3.02	3.31	9.7	9.7	8.8	3	25	18	13%	0%	10%	4.1	4.2	n.m.	n.m.	6.9	6.8
2357 TT	ASUS	937	21,641	49.3	50.6	54.3	19.0	18.5	17.3	2.5	2.4	2.3	-20%	3%	7%	3.6	3.7	13.5	13.4	17.0	16.8
2353 TT	Acer	31.6	2,990	1.74	1.76	n.a.	18.2	17.9	n.a.	1.2	1.2	n.a.	38%	2%	n.a.	4.4	4.5	6.9	6.8	17.8	15.5
DELL US	Dell	484.5	313,056	19.5	24.6	28.7	24.9	19.7	16.9	n.m.	n.m.	n.m.	89%	26%	17%	0.5	0.6	624	n.m.	19.5	16.0
Average							17.9	16.5	14.3	38	9.7	10.1	30%	8%	11%	3.1	3.2	215	10.1	15.3	13.8
Server OEM/ODM																					
2317 TT	Hon Hai	262.0	114,288	18.4	21.9	25.7	14.2	12.0	10.2	1.9	1.7	1.5	36%	19%	18%	3.5	4.2	13.8	14.8	10.4	9.0
2382 TT	Quanta	325.0	39,035	22.5	25.5	28.2	14.4	12.7	11.5	4.4	4.0	3.6	16%	13%	11%	5.5	6.3	32.9	33.5	12.2	10.4
6669 TT	Wiwynn	6070	35,076	334	452	585	18.2	13.4	10.4	7.3	5.4	4.1	21%	36%	29%	2.7	3.7	45.6	46.5	12.4	8.8
2356 TT	Inventec	68.8	7,675	3.45	4.38	4.90	20.0	15.7	14.0	3.1	3.0	2.8	42%	27%	12%	3.8	4.8	16.1	18.9	12.9	11.3
DELL US	Dell	484.5	313,056	19.5	24.6	28.7	24.9	19.7	16.9	325	124	67.5	89%	26%	17%	0.5	0.6	624	117.3	19.5	16.0
HPE US	HPE	58.8	77,850	3.45	4.02	4.46	17.0	14.6	13.2	2.9	2.4	2.1	78%	17%	11%	1.0	1.0	19	19.6	10.6	9.8
Average							18.1	14.7	12.7	57	23.3	13.6	47%	23%	16%	2.9	3.4	125	41.8	13.0	10.9

Source: Bloomberg consensus, BofA Global Research estimates

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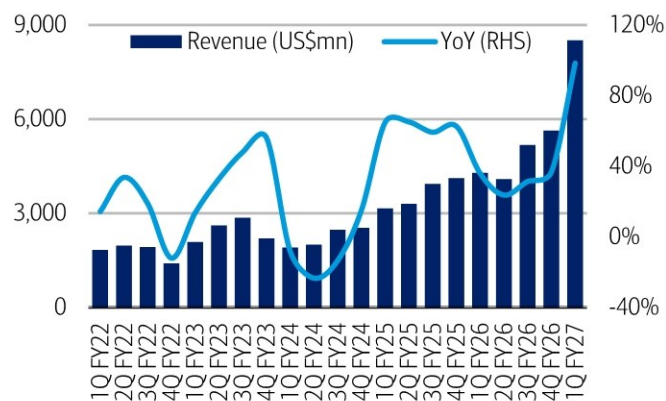


Solid deliveries across Neocloud, sovereign, enterprises

Lenovo's ISG revenue reached US\$8.5bn (+51% QoQ, +98% YoY) and OPM hit record high at 9.1% (vs 3.6% in 4Q FY26). The upbeat results was led by growth trajectory from not only general cloud but also sovereign, Neocloud and enterprises. Lenovo's AI server pipeline also grew by 157% QoQ to US\$54bn, suggesting a sustainable growth. Our check with other OEMs/ODMs also suggests robust Neocloud demand. Besides CSP, we see enterprises business is improving, which could support ongoing margin expansion.

Exhibit 8: ISG sales grew by 98% YoY in 1Q FY27

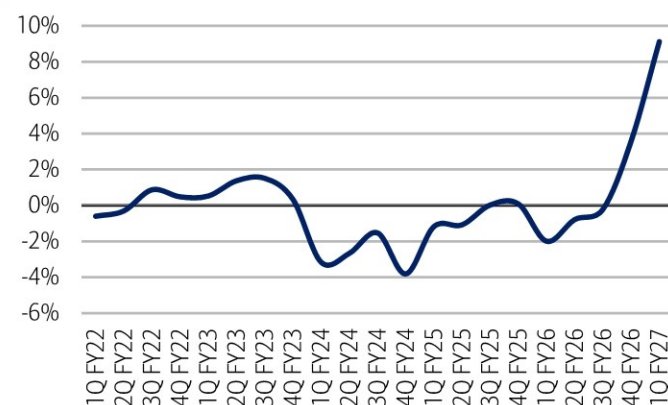
ISG's (server) revenue and YoY growth, 1Q FY22–1Q FY27



Source: Company data, BofA Global Research. ISG: Infrastructure Solutions Group
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Exhibit 8: ISG's operating margin reached record high at 9.1% in 1Q FY27

ISG's (server) operating margin trend, 1Q FY22–1Q FY27



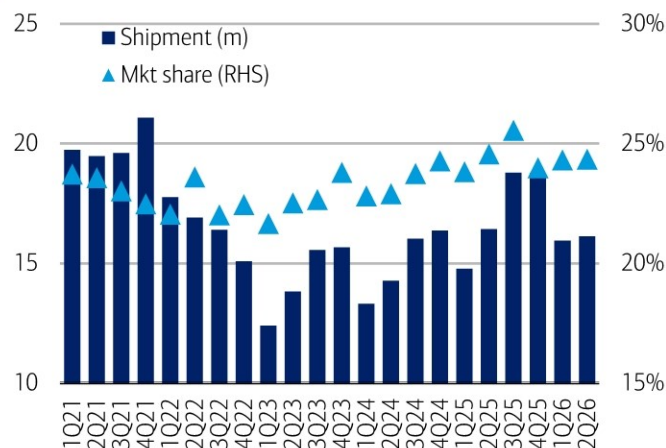
Source: Company data, BofA Global Research. ISG: Infrastructure Solutions Group
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PC profitability sustainable

Mgmt. expects PC industry to face ~15% YoY shipment decline in 1H FY27 (Apr-Sep) amid price hikes. However, we believe Lenovo should be relatively better positioned, given its high commercial exposure (~65%). Meanwhile, margin should remain resilient, supported by scale, procurement management, and better mix.

Exhibit 9: Lenovo maintained stable PC shipment QoQ in CY2Q26

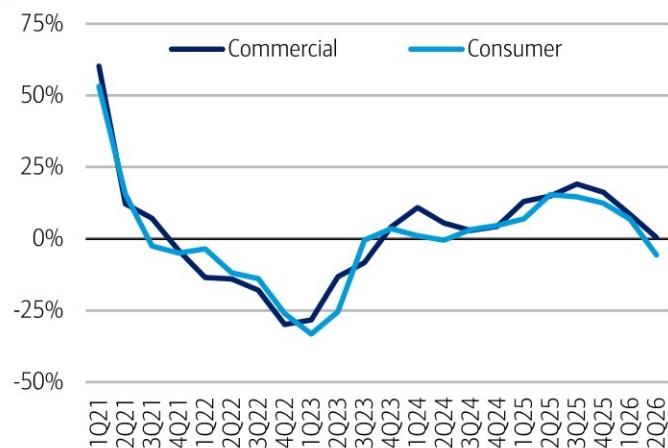
Lenovo's PC shipment/market share, 1Q21–2Q26 (CY based)



Source: IDC, BofA Global Research
BofA GLOBAL RESEARCH

Exhibit 10: Commercial PC shipment remained stable QoQ in CY2Q26

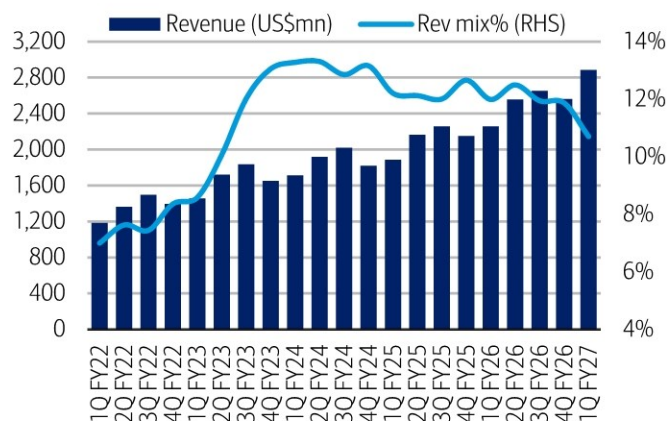
Lenovo's PC shipment YoY trend by segment, 1Q21–2Q26 (CY based)



Source: IDC, BofA Global Research
BofA GLOBAL RESEARCH

Exhibit 11: SSG's revenue reached record high in 1Q FY27

SSG's (services) revenue trend, 1Q FY22–1Q FY27

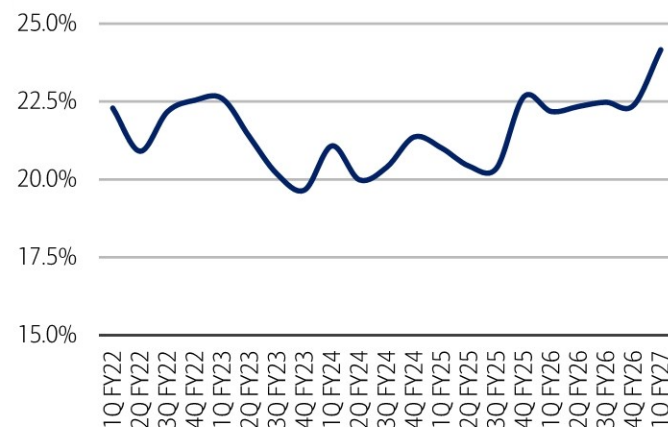


Source: Company data, BofA Global Research. SSG: Solutions and Services Group

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Exhibit 12: SSG's operating margin hit record of 24.2% in 1Q FY27

SSG's (services) operating margin trend, 1Q FY22–1Q FY27



Source: Company data, BofA Global Research. SSG: Solutions and Services Group

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Exhibit 14: We model 21% adjusted earnings CAGR in FY27-29E

Lenovo's quarterly income statement, FY26-29E

	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Nov-26	Mar-27	May-27	Aug-27	Nov-27	Mar-28	Mar-26	Mar-27	Mar-28	Mar-28
US\$ mn	Q1/FY26	Q2/FY26	Q3/FY26	Q4/FY26	Q1/FY27	Q2/FY27E	Q3/FY27E	Q4/FY27E	Q1/FY28E	Q2/FY28E	Q3/FY28E	Q4/FY28E	FY2026	FY2027E	FY2028E	FY2029E
Sales	18,830	20,452	22,204	21,588	26,943	26,159	27,002	27,798	30,870	32,636	34,085	32,028	83,075	107,902	129,619	149,465
Gross profit	2,774	3,147	3,349	3,539	4,452	4,366	4,516	4,628	5,164	5,477	5,742	5,458	12,809	17,962	21,842	25,562
OP profit	785	643	948	886	19	1,606	1,654	1,487	2,232	2,311	2,402	1,807	3,262	4,766	8,752	10,513
Pretax profit	622	494	818	735	(180)	1,432	1,480	1,313	2,057	2,137	2,228	1,632	2,670	4,045	8,055	9,817
Net income	505	340	546	521	(609)	1,105	1,144	1,010	1,606	1,670	1,742	1,266	1,912	2,651	6,284	7,693
Adjusted net income	389	512	589	559	1,075	1,147	1,186	1,052	1,648	1,712	1,784	1,308	2,049	4,461	6,452	7,861
EPS	0.034	0.023	0.037	0.035	-0.042	0.076	0.079	0.069	0.110	0.115	0.120	0.087	0.130	0.182	0.432	0.529
Adjusted EPS	0.026	0.035	0.040	0.038	0.074	0.079	0.082	0.072	0.113	0.118	0.123	0.090	0.139	0.307	0.444	0.541
Margin																
Gross margin	14.7%	15.4%	15.1%	16.4%	16.5%	16.7%	16.7%	16.6%	16.7%	16.8%	16.8%	17.0%	15.4%	16.6%	16.9%	17.1%
OP margin	4.2%	3.1%	4.3%	4.1%	0.1%	6.1%	6.1%	5.3%	7.2%	7.1%	7.0%	5.6%	3.9%	4.4%	6.8%	7.0%
Pretax margin	3.3%	2.4%	3.7%	3.4%	-0.7%	5.5%	5.5%	4.7%	6.7%	6.5%	6.5%	5.1%	3.2%	3.7%	6.2%	6.6%
Net margin	2.7%	1.7%	2.5%	2.4%	-2.3%	4.2%	4.2%	3.6%	5.2%	5.1%	5.1%	4.0%	2.3%	2.5%	4.8%	5.1%
Adjusted net margin	2.1%	2.5%	2.7%	2.6%	4.0%	4.4%	4.4%	3.8%	5.3%	5.2%	5.2%	4.1%	2.5%	4.1%	5.0%	5.3%
QoQ																
Sales	11%	9%	9%	-3%	25%	-3%	3%	3%	11%	6%	4%	-6%				
Gross profit	0%	13%	6%	6%	26%	-2%	3%	2%	12%	6%	5%	-5%				
OP profit	137%	-18%	48%	-7%	-98%	8264%	3%	-10%	50%	4%	4%	-25%				
Pretax profit	250%	-21%	66%	-10%	-124%	-896%	3%	-11%	57%	4%	4%	-27%				
Net income	462%	-33%	60%	-5%	-217%	-282%	3%	-12%	59%	4%	4%	-27%				
Adjusted net income	40%	31%	15%	-5%	92%	7%	3%	-11%	57%	4%	4%	-27%				
YoY																
Sales	22%	15%	18%	27%	43%	28%	22%	29%	15%	25%	26%	15%	20%	30%	20%	15%
Gross profit	8%	13%	13%	27%	60%	39%	35%	31%	16%	25%	27%	18%	15%	40%	22%	17%
OP profit	59%	-1%	38%	167%	-98%	150%	74%	68%	11521%	44%	45%	22%	51%	46%	84%	20%
Pretax profit	99%	4%	58%	314%	-129%	190%	81%	79%	NM	49%	51%	24%	80%	51%	99%	22%
Net income	108%	-5%	-21%	479%	-220%	225%	110%	94%	NM	51%	52%	25%	38%	39%	137%	22%
Adjusted net income	22%	25%	36%	101%	176%	124%	101%	88%	53%	49%	50%	24%	42%	118%	45%	22%

Source: Company data, BofA Global Research estimates

BofA GLOBAL RESEARCH

Acronyms used in this report**AI:** artificial intelligence**ASP:** average selling price**CSP:** cloud service provider

ESMB: enterprise and small & medium business

IDG: intelligent devices group

ISG: infrastructure solutions group

SSG: solution and services group



Price objective basis & risk

Lenovo Group (LNVGF / LNVGY)

Our PO of HK\$46/US\$117.69 is based on 17x 2Q FY27 - 1Q FY28E P/E. 17x is slightly above the peak P/E (16x) of Lenovo's average trading P/E since 2019, justified by Lenovo's strong server business and successful business transformation from to a PC/server/services vendor.

The downside risks to our PO: (1) slower demand at PC, (2) mobile to turn loss again, (3) slower-than-expected sales/margin improvement in server, (4) slower expansion at services, (4) unexpected FX impacts, and (5) macro headwinds like escalating US-China trade tensions.

The upside risks to our PO: (1) better-than-expected PC shipment and margin, (2) faster-than-expected expansion in server and service business, (3) rising profit margin at mobile business, (4) favorable FX movement, and (5) overall improved macro condition and eased US-China trade tensions.

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APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	AAC Technologies	AACAF	2018 HK	Katherine Zhu
	Advantech	ADTEF	2395 TT	Robert Cheng
	Asia Vital Components	AVMPF	3017 TT	Doris Kao
	BizLink	BIZLF	3665 TT	Doris Kao



APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Chenbro	CEOMF	8210 TT	Doris Kao
	Cowell	CWLLF	1415 HK	Katherine Zhu
	Crystal-Optech	XMKAF	002273 CH	Katherine Zhu
	Delta Electronics (Thailand)	XLETF	DELTA TB	Suppamong lemkongaek, CFA, CMT
	Delta Electronics Inc.	DLTEF	2308 TT	Robert Cheng
	Duksan Neolux	XDSXF	213420 KS	Simon Woo, CFA
	Dynamic Holding	XLHCF	3715 TT	Mike Yang
	E Ink Holdings	PWWIF	8069 TT	Doris Kao
	Elite Material	ETMCF	2383 TT	Mike Yang
	Foxconn Industrial Internet	XDAZF	601138 CH	Robert Cheng
	Goertek	XGKCF	002241 CH	Katherine Zhu
	Gold Circuit	GOCCE	2368 TT	Doris Kao
	Hana Microelectronics	XHNNF	HANA TB	Suppamong lemkongaek, CFA, CMT
	Hon Hai Precision Industry	HNHAF	2317 TT	Robert Cheng
	Huaqin	XHUAF	603296 CH	Katherine Zhu
	Huaqin	XPEZF	3296 HK	Katherine Zhu
	ISU Petasys	IPTYF	007660 KS	Matt Shin
	Jentech	XVFSF	3653 TT	Doris Kao
	King Slide	KGSLF	2059 TT	Doris Kao
	Kingboard Laminates	KGBLF	1888 HK	Katherine Zhu
	Kinsus	KNSUF	3189 TT	Mike Yang
	Largan Precision	LGANF	3008 TT	Robert Cheng
	Lenovo Group	LNNGF	992 HK	Robert Cheng
	Lenovo Group	LNNGY	LNNGY US	Robert Cheng
	Lens Tech	XLTVF	6613 HK	Katherine Zhu
	LG CNS	XLGLF	064400 KS	Simon Woo, CFA
	LG Electronics	LGFAF	066570 KS	Simon Woo, CFA
	LG Innotek	XLGQF	011070 KS	Simon Woo, CFA
	Lotes	ZYZTF	3533 TT	Doris Kao
	Luxshare	XNMQF	002475 CH	Robert Cheng
	Netweb Technologies	XNTZF	NETWEB IN	Jatin Kalra, CFA
	NYPCB	NANYF	8046 TT	Mike Yang
	Quanta Computer	QUCPF	2382 TT	Robert Cheng
	Samsung Electro-Mechanics	SMSGF	009150 KS	Simon Woo, CFA
	Samsung SDI	SSDIF	006400 KS	Simon Woo, CFA
	Samsung SDS	XWPBF	018260 KS	Simon Woo, CFA
	Shennan Circuits	XAMKF	002916 CH	Katherine Zhu
	Taiwan Union Technology Corporation	TWUNF	6274 TT	Mike Yang
	Unimicron	UMCRF	3037 TT	Mike Yang
	Universal Display	OLED	OLED US	Simon Woo, CFA
	Victory Giant	XENEF	300476 CH	Katherine Zhu
	Wistron	WICOF	3231 TT	Doris Kao
	Wiwynn	XWQF	6669 TT	Robert Cheng
	Xiaomi Corporation	XIACF	1810 HK	Robert Cheng
	Yageo	YGEQF	2327 TT	Robert Cheng
	Zhen Ding Tech	XFAGF	4958 TT	Doris Kao
	Zhongji Innolight	XZICF	300308 CH	Katherine Zhu
	ZTE Corporation	SHZZF	000063 CH	Katherine Zhu
	ZTE Corporation	ZTCOF	763 HK	Katherine Zhu
NEUTRAL				
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	Auras Technology	AUTCF	3324 TT	Doris Kao
	BYD Electronic	BYDIF	285 HK	Katherine Zhu
	DS Precision	XBASF	002384 CH	Katherine Zhu
	Lite-On Tech	LOTZF	2301 TT	Doris Kao
	Sunny Optical	SNPTF	2382 HK	Katherine Zhu
UNDERPERFORM				
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	Catcher Tech	CHERF	2474 TT	Robert Cheng
	Compal Electron	XLCPF	2324 TT	Doris Kao
	Everwin Precision	XSHZF	300115 CH	Katherine Zhu
	Genius Electronic Optical	GNSEF	3406 TT	Robert Cheng
	Lens Tech	XLTF	300433 CH	Katherine Zhu
	LG Display	LPHLF	034220 KS	Simon Woo, CFA

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	LG Display-ADR	LPL	LPL US	Simon Woo, CFA
	Lianchuang Electronic	XWOF	002036 CH	Katherine Zhu
	Pegatron	PGTRF	4938 TT	Robert Cheng
	Sanan Opto	XEQYF	600703 CH	Katherine Zhu
	Seoul Semiconductor	SLSOF	046890 KS	Simon Woo, CFA
	Shengyi	DGUNF	600183 CH	Mike Yang
	Sunway Communications	XWSVF	300136 CH	Katherine Zhu
	Transsion	XCINF	688036 CH	Robert Cheng

iQmethodSM Measures Definitions**Business Performance**

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

EV / EBITDA

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

EV = Current Share Price × Current Shares + Minority Equity + Net Debt +

Other LT Liabilities

Enterprise Value

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill Amortization

Shareholders' Equity

Sales

N/A

N/A

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

Market Cap = Current Share Price × Current Basic Shares

Sales

Basic EBIT + Depreciation + Amortization

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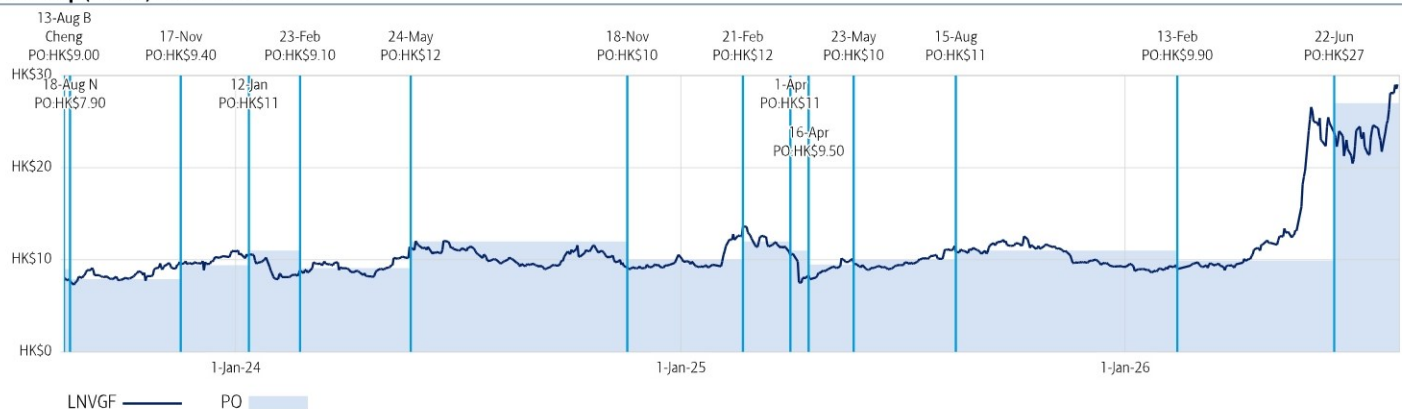
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Important Disclosures

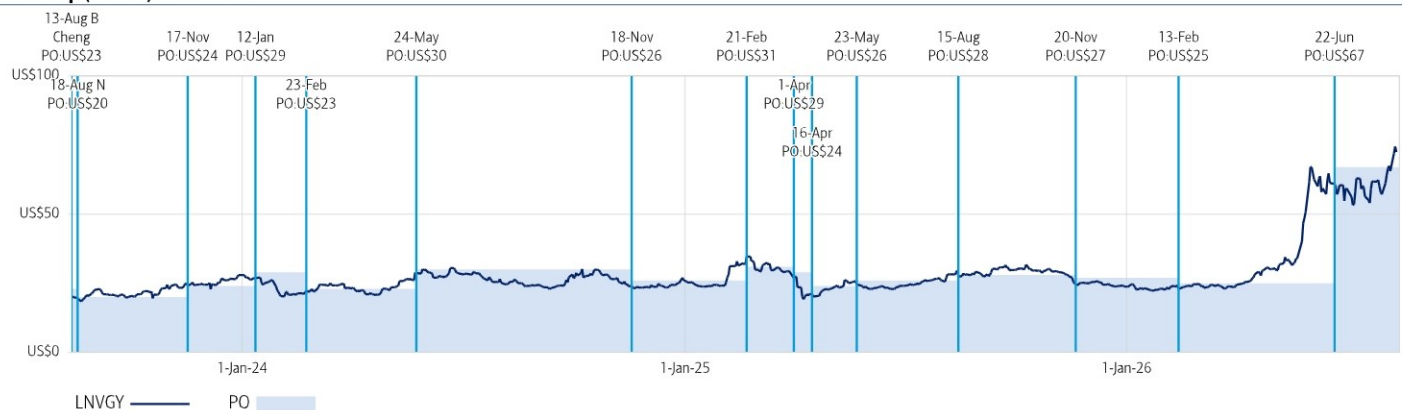
Lenovo Group (LNVGF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Lenovo Group (LNVGY) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Technology Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	243	60.60%	Buy	123	50.62%
Hold	87	21.70%	Hold	45	51.72%
Sell	71	17.71%	Sell	21	29.58%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

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